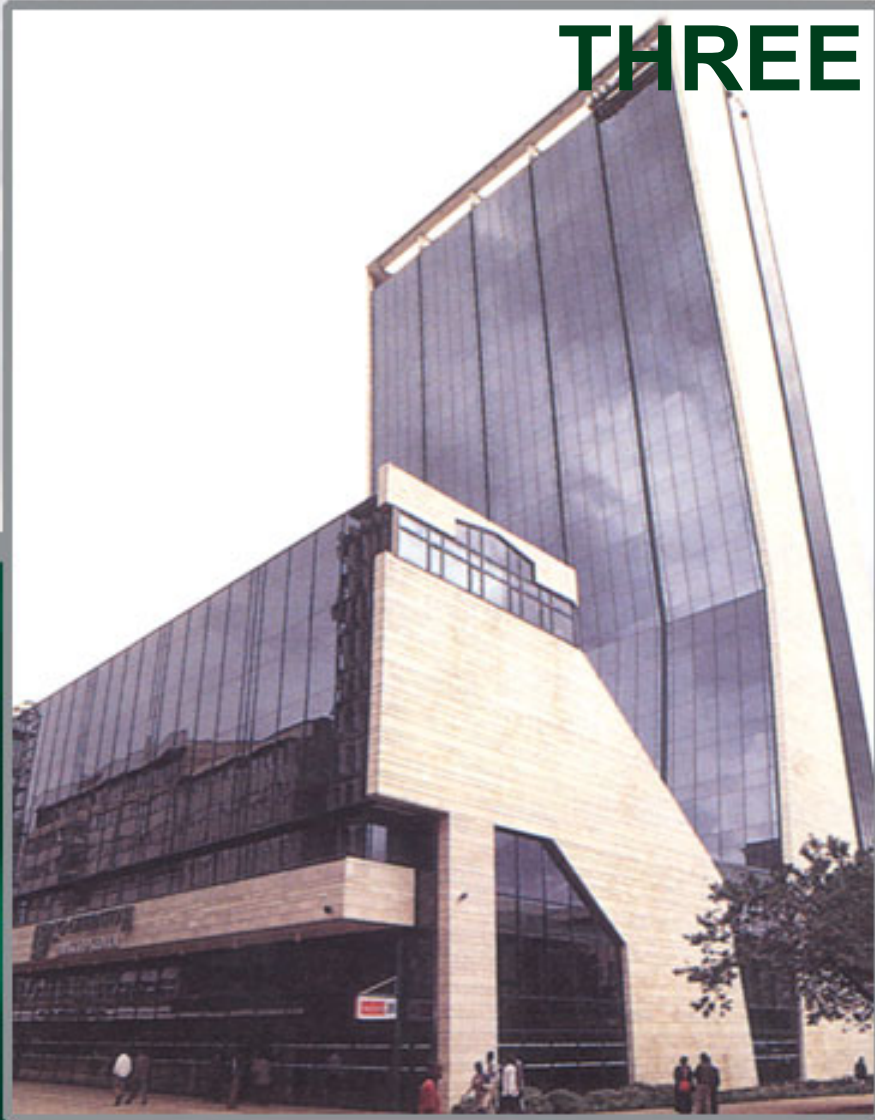


PRESENTATION OF 2010 QUARTER THREE FINANCIAL RESULTS



Gideon Muriuki

GROUP MANAGING DIRECTOR &
CEO





Profit Before Tax



Co-op Bank is pleased to report a remarkable **Profit Before Tax** of **Kshs.4.38 billion** for the period ended September 30, 2010 representing a commendable **54%** growth compared to **Kshs.2.85 billion** recorded during the same period in year 2009.

A Growing Bank



KES Billions	Sept 30, 10	Sept 30, 09	(%) Change	
Total Assets	141.3	98.8	43%	↑
Loan Book (net)	80.5	60.5	33%	↑
Total Deposits	117.4	76.6	53%	↑
Shareholders Funds	19.3	15.5	25%	↑
Customer Base	1.5M	1 M	50%	↑

Income Statement

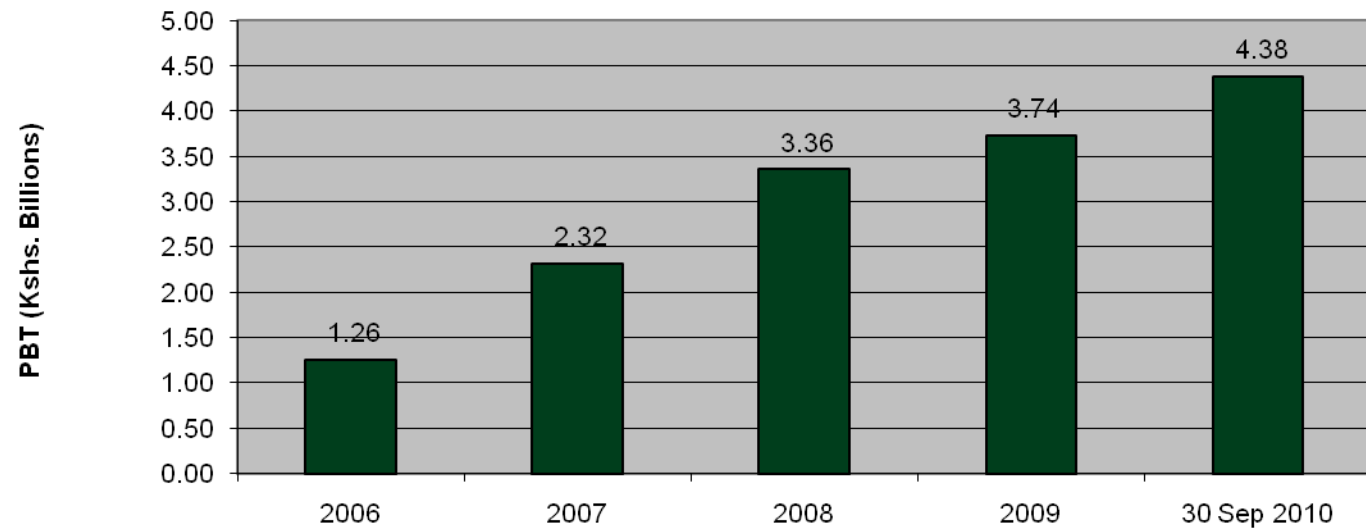


KES Billions	Sept 30, 10	Sept 30, 09	($\%$) Change	
Net Interest Income	6.37	4.90	30%	↑
Fees and Commissions	5.17	3.33	55%	↑
Total Income	11.54	8.23	40%	↑
Loan Loss Provisions	0.60	0.57	7%	↑
Operating Expenses	6.56	4.81	36%	↑
Profit Before Tax	4.38	2.85	54%	↑
Profit After Tax	3.73	2.13	75%	↑

Sustainable Growth



Sustainable Profitability



Sustainable Growth



- ✍ Co-op Bank remains focused on sustainable growth as its key objective of **deepening shareholder value**
- ✍ During the nine months the following were the key business drivers that lead to these excellent results:-



Transaction Based Income



Our fees and commissions (notably ATM, personal and business banking commissions, M-Banking, Forex income and letters of credit) have grown from KSh.3.33 billion in September 2009 to KSh.5.17 billion in September 2010 out of the following key initiatives:-



Transaction Based Income

Customer Growth



- ✍ During the year, we continued an aggressive customer growth campaign aimed at increasing our customer base.
- ✍ The all inclusive bank staff initiative grew our customer base from 1 million customers to over 1.5 million customers registering a 50% growth.
- ✍ Growth in customer base ensured increased transactions volumes thus increased fees and commissions income.



Transaction Based Income

Branch Network Expansion



- ✍ We have increased our branch network by 34 locations in 2009/2010 to reach 86 locations, a 40% growth.
- ✍ The expansions target strategic locations based on their profiles and business potential from our chosen market segments.



Transaction Based Income

Expanded Automated Teller Machines (ATMs) network

-  We continued to increase our investments in ATM network and are now accessible in **352** service points.
-  Also invested in over 29 Auto Banking Centre's with deposit taking capabilities thus providing our customers a 24 hour banking service.





Transaction Based Income

Front Office Service Activity (FOSA) Project



✍ We continued retailing banking services through Sacco's / Fosa's to the over 7 million member co-operative movement using this unique model. Examples are:-

- ✓ Loan products
- ✓ Sacco link debit cards
- ✓ Payment systems

✍ Through our subsidiary Co-operative Consultancy Services Limited the Bank continued to provide corporate finance capacity support aimed at increasing the number of Sacco FOSA's to over 400. Currently 254 FOSA'S are operational.



Transaction Based Income

SACCO Link



- ✎ This ICT switch enables members of Sacco's cash at our ATM's and goods/services at Visa branded outlets globally.
- ✎ Over 277,000 cards have been issued and the product targets over 400,000 users by end of the year.
- ✎ This is well supported by the increased investment in ATMs and POSs.



Transaction Based Income

Mobile Banking



- ✍ We have enhanced our mobile banking service the M-Banking
- ✍ Our customers can now access a wide range of services such as:-
 - » Air-time top ups
 - » Money transfer to and from Mpesa
 - » Balance enquiry
 - » Utility payments among others
- ✍ An active client base of over 379,000 customers



Asset Growth

The Bank continued to grow quality assets with increased investments in a strong credit risk management framework. Our portfolio stood at KSh80.5 billion net on a well diversified loan portfolio as hereunder:

ASSET BOOK	KSh million	%
Corporate	18,416.00	22.9%
Mortgage	819.70	1.0%
MCU	2,275.50	2.8%
SME	3,154.20	3.9%
Asset Finance	2,584.67	3.2%
Personal	30,896.87	38.4%
Agri-business	4,538.60	5.6%
Sacco Banking Loans	17,835.50	22.2%
Total (Net)	80,521.05	100%



Asset Growth



Corporate and Trade Finance



- ➡ The bank has strengthened capacity thus growing the Corporate and Trade Finance book
- ➡ The result has been growth in our Forex income to over kshs501million
- ➡ The bank is now a key player in the corporate market with significant portfolio's e.g. has Letters of Credit / Guarantees portfolio of over KSh22 billion, thus increased commissions.

Asset Growth



Institutional and Government Banking

- ➡ Substantially grown our portfolio in this sector with key contributions to the balance sheet growth and non funded income streams
- ➡ We continue to be a niche market provider of banking services



Asset Growth



Mortgage



- ➡ Our product “**Good Home Mortgage**” is fast growing and continues to perform well in the market.
- ➡ With the Co-operative captive market segment, this will be a **cash cow** for the bank.
- ➡ The product has over Kshs1.5billion in committed lines.

Asset Growth



Msamaria Women's Loan



- ➡ Our product "**Msamaria**" is targeting a key segment of the market, women customers.
- ➡ With more women getting into business, this will be a key revenue generator.
- ➡ The limits are very friendly, from Kshs 5000 to Kshs 10 million.

Asset Growth



Agri-business mainly coffee sector was substantially reduced with the Kshs5.2 billion debts write off in the year 2007.



We have diversified our agri-business products including maziwa plus loans, Nafaka and Vuna thus growing a good book.



Credit Risk Management

Prudent Lending



- ✍ With key hard lessons from our yester years when we incurred losses and made provisions of over Kshs 17 billion in 8 years, the bank has continued to enforce strict credit risk management and our overall non performing loans portfolio decreased from 9% in 2009 to 7% in 2010.
- ✍ The bank has proactively grown a diversified portfolio.
- ✍ Provisions for bad and doubtful debts increased by 7% to Kshs.601million in 2010 from KShs.568 million in 2009 in line with the growth of the book.



New Business

Co-operative Insurance Company of Kenya Limited (CIC)



-  The bank has increased its shareholding in **CIC (K) Ltd** to 21% thereby becoming a substantial/single largest shareholder.
-  The bank will thus strengthen its financial supermarket model by providing insurance services.
-  The new venture will result in increased commission incomes and also offer a diversified investment portfolio to shareholders.

New Business



Co-op Trust Investment Services Limited



- ✍ Co-op Trust is now the largest locally owned fund management company with a portfolio of over **Kshs 31.5 billion** funds under management.
- ✍ They contributed a **Profit Before Tax** of **Kshs 58.7 million** as at 30th September 2010.

New Business



Kingdom Securities Limited (KSL)



- ✍ KSL has made a full turnaround with a PBT of KSh 29.2 million as at September 30, 2010 against a loss of KSh 9.5 million in September 30, 2009.
- ✍ Broadening the group's performance by taking stock brokerage services to the over 7 million member co-operative movement.
- ✍ With over 124 institutional agents countrywide, mainly Sacco's, KSL is now making a reasonable contribution to the deepening of financial markets.



New Business

Alternative Banking Channels (ABCs)

 Taking cognisance of the importance of expanding our outreach, the bank has embarked on key initiatives under ABC

Point of Sale (POS) Banking

 Through the use of ICT, we have broadened the concept of branchless banking through the POS where we are installing over 3,000 POS's countrywide.



New Business



Agent Banking



We have a project team in place who are in the process of implementing the model.



We have experience in this model through the business partnership with the Co-operatives and SACCO's.

Cost Rationalisation



-  The bank optimized over 300 positions and thus was able to open additional branches with the same staff compliment.
-  **All** cost lines continue to be monitored to eliminate waste and avoid budget overruns.
-  Over 50% of the new branches are already contributing to the bottom line and the projection is all will break even by year end.
-  The bank continues to lease new branch premises as opposed to outright purchase as it is both cost and tax efficient.

Human Resources



-  The key competitive edge for Co-operative Bank group is continued investment in our people.
-  The bank has heavily invested in performance management systems that are tied to compensation.
-  Both local and overseas training remains key with minimum training hours a target for every staff every year.
-  Co-op bank is now an employer of choice.

Core Banking Software



The Bank has been on a Bank Master / Branch Power core banking system from *Misys* that has given us a key competitive edge with a capacity to hold over 7 million customers.



The Bank has now signed a contract to upgrade its core banking software to Bank Fusion/Universal Banking system, also from *Mysis* aimed at positioning the Bank for future growth.

Regional Expansion



The establishment of Co-operative Bank of Southern Sudan is in progress with ownership as hereunder:

✍ 70% owned by Co-operative Bank of Kenya;
and

✍ 30% by Government of South Sudan, on
behalf of South Sudan's Co-operative
movement.

Currently negotiating strategic partnerships in
countries in the wider East African Market.

Share Performance



- ✍ With a last trading price of kshs19.75per share and annualised PBT of Kshs5.84 billion this presents an annualised P/E of 14.75.
- ✍ With an industry average P/E of 17.47 a fair price projection of the share would be kshs.23.50.
- ✍ We project to sustain the excellent growth momentum.
- ✍ Co-op Bank is thus a growth stock.

Conclusion



Given the various initiatives and business strategies highlighted above we project to do even better in the final quarter of year 2010.



Appreciation



We sincerely thank you and all our stakeholders for the continued support over the years that has seen the success of the **Kingdom Bank.**

We continue to heavily invest in the Kenyan People and are confident of brighter days ahead.



**Thank you
and
may God richly
bless you all.**